# Pennymac Correspondent
# Fannie Mae RefiNow Option
# 11.17.25

Overlays to Fannie Mae are underlined Overlays indicated as Non-Del Only are specific to Non-Delegated loans only

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| **Agency** | **Fannie Mae - DU Approval** | | |
| **Finance Type** | **RefiNow** | | |
| **Occupancy** | **Primary Residence Only** | | |
| **Term** | **Fixed Rate** | | |
| | **Property Type** | **LTV/CLTV/HTLTV[2]** | **Min Credit Score** |
| | 1 Unit | 97[1] | 620 |

[1] Transactions with non-occupant co-borrowers are limited to 95% LTV/CLTV
[2]Maximum CLTV is 105% only with Community Seconds existing financing

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| **Maximum Loan Amounts** | Current Guidance is available at: https://www.fanniemae.com/singlefamily/loan-limits<br>Note: High-balance loans are ineligible for RefiNow |
| **Ability To Repay and Qualified Mortgage Rule** | • For loans subject to the ATR/QM rule, Pennymac will only purchase loans that comply with the ATR/QM requirements.<br>• Correspondents are responsible for providing evidence of compliance with the ATR/QM rules.<br>• Clear itemization of fees and application of all credits that indicate paid by/to will be required on all loans.<br>• See Selling Guide section "Ability to Repay and Qualified Mortgage Rule" under "Delivery Procedures" for more details. |
| **Age of Documents** | • Credit documents must be no more than 4 months old on the date the note is signed, including credit reports and employment, income and asset documents.<br>• Preliminary Title Policies must be no more than 180 days old on the date the note is signed. |
| **Appraisals** | • Standard property valuation requirements for a value acceptance or appraisal apply.<br>• The use of Value Acceptance is allowed when the final submission of the loan casefile to DU results in a Value Acceptance offer. A Value Acceptance offer may not be exercised if any of the following apply:<br>  ○ DU is unable to identify ineligible criteria including but not limited to Texas 50(a)(6)<br>  ○ An appraisal report is required by state law<br>  ○ Rental income is used to qualify the borrower<br>  ○ An appraisal is warranted based on additional information received about the property or subsequent events<br>  ○ If a full appraisal is obtained, the appraisal must be used<br>• Value Acceptance + property data (PDC) is eligible for certain loan casefiles where DU offers Value Acceptance + PDC<br>  ○ DU Approve / Eligible required<br>  ○ One-unit properties only<br>  ○ Condos (attached and detached) are eligible<br>  ○ Ineligible transactions include:<br>  ▪ Manufactured homes<br>  ▪ Investment properties where rental income is used to qualify<br>  ▪ Proposed construction<br>  ▪ Construct to perm<br>  ▪ Texas 50(a)(6)<br>  ▪ Leaseholds<br>  ▪ Properties with resale price restrictions (includes Community Land Trusts)<br>  ▪ Gift of equity transactions<br>  ▪ Purchase price or estimated value is > $1,000,000<br>  ▪ Refer to the Fannie Mae Selling Guide for complete guidance<br>  ○ The property data collection must be obtained after the initial DU offer and submitted to the Property Data API prior to the note date.<br>  ○ If the subject property requires repairs or alterations, satisfactory evidence and documentation must be provided showing the condition has been corrected (evidence and documentation must meet Fannie Mae requirements).<br>  ○ If the Value Acceptance +PDC offer is lost due to changes in qualifying loan characteristics after the property data collection was obtained, in *certain* cases it may be possible to obtain a hybrid appraisal<br>  ○ If an appraisal is obtained, the appraisal must be used. |

- Refer to the Fannie Mae Selling Guide for complete Value Acceptance + Property Data program requirements.

- Properties subject to a leasehold estate:
  - Appraisers must develop a thorough, clear, and detailed narrative that identifies the terms, restrictions, and conditions regarding lease agreements or ground leases and include this information as an addendum to the appraisal report.
  - Appraisers must discuss what effect, if any, the terms, restrictions, and conditions of the lease agreement or ground lease have on the value and marketability of the subject property.
  - The appraiser must use a sufficient number of closed comparable sales with similar leasehold interests, if available, in the analysis of market value of the leasehold estate for the subject property.
    - If not enough comparable sales with the same lease terms and restrictions are available, appraisers may use sales of similar properties with different lease terms or, if necessary, sales of similar properties that were sold as fee simple estates.
    - The appraiser must explain why the use of these sales is appropriate, and must make appropriate adjustments in the Sales Comparison Approach adjustment grid to reflect the market reaction to the different lease terms or property rights appraised
- If the appraiser identifies an addition(s) that does not have the required permit, the appraiser must comment on the quality and appearance of the work and its impact, if any, on the market value of the subject property.
- Properties with unpermitted secondary kitchens may be eligible if:
  - it is common for the area,
  - no negative impact on marketability, and
  - Appraiser comments on quality of construction, any health/safety issues, any soundness issues, which must meet Fannie Mae requirements.
- Accessory units are acceptable when meeting Fannie Mae requirements:
  - When the accessory unit is permitted or complies with zoning:
  - The property is defined as a one-unit property.
  - There is only one accessory unit on the property; multiple accessory units are not permitted
  - The appraisal report demonstrates that the improvements are typical for the market through an analysis of at least one comparable property with the same use.
  - The borrower qualifies for the mortgage without considering any rental income from the accessory unit.
  - The accessory unit must have the required separate features per Selling Guide Section B2-3-04
  - The kitchen must meet all requirements per Selling Guide Section B2-3-04. The removal of the stove does not change the Accessory Unit classification.
  - Manufactured homes are eligible as accessory units if they meet the requirements per Selling Guide Section B2-3-04 and are <u>not given any value by the appraiser.</u>
- When the accessory unit is NOT permitted or DOES NOT comply with zoning:
  - Pennymac confirms that the existence will not jeopardize any future property insurance claim that might need to be filed for the property.
  - The use conforms to the subject neighborhood and to the market.
  - The property is appraised based upon its current use.
  - The appraisal must report that the improvements represent a use that does not comply with zoning.
  - The appraisal report must demonstrate that the improvements are typical for the market through an analysis of at least two comparable properties that have the same non-compliant zoning use. Aged settled sale(s) with the same non-compliant zoning use are acceptable if recent sales are not available. At a minimum, the appraisal report must include a total of three settled sales.
- Properties with evidence of commercial production of marijuana, including but not limited to grow rooms, or hydroponic equipment, are ineligible.

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| **Assets** | Assets:<br>• Verification of funds to close are required. Acceptable asset documentation includes one recent statement (monthly, quarterly, or annual) showing asset balance.<br>• Assets derived from the production or sale of marijuana are ineligible<br>• Non-Del only: VODs are not acceptable for asset documentation<br><br>Virtual Currency:<br>• Cryptocurrency/Virtual Currency may only be used as funds for closing and reserves if it has been exchanged into U.S. dollars and is held in a U.S. or state regulated financial institution. There must be sufficient documentation to verify that the funds originated from the borrower's cryptocurrency/virtual currency account. Acceptable documentation to use those funds includes the following:<br>  ○ Documentation from cryptocurrency exchange account verifying the borrower as the legal owner and not the nickname of the account, AND<br>  ○ Previous borrower bank statement showing funds going into the same cryptocurrency exchange account that the large deposit came from, OR<br>  ○ 1099-B/MISC from the same cryptocurrency exchange account that the large deposit came from, plus the borrower's Tax Returns reflecting the 1099 gain/loss |
| **Assignment of Mortgages** | • All loans must be registered with MERS at time of delivery to Pennymac and a MERS transfer of beneficial rights and transfer of servicing right must be initiated by the Seller, to Pennymac Loan Services, LLC (#1007159), within 24-hours of purchase. |
| **AUS** | • Desktop Underwriter with "Approve/Eligible" Findings is required.<br>• Manual UW is not permitted. |
| **Borrower Eligibility** | • U.S. citizens<br>• Permanent resident aliens, with proof of lawful permanent residence<br>• Nonpermanent resident alien immigrants with proof of lawful residence<br>• DACA recipients are eligible with proof of legal status, including but not limited to a valid Employment Authorization Document card. See Non-U.S. Citizen Documentation Requirements.<br>• The borrowers on the new loan must be identical as the borrowers on the existing loan being refinanced. New borrowers<br>• Non-occupant borrowers are permitted to maximum 95% LTV/CLTV with a DU Approve/Eligible.<br>• Enhanced life estates (aka lady bird deeds and transfer on death deeds) are ineligible.<br>• Non-Del only: Title vested in a life estate is ineligible. |
| **CEMA** | • eMortgages are ineligible<br>• Lost Note Affidavits (LNAs) are not allowed for prior or current notes |
| **Condominiums** | • All project review requirements will be waived for properties located in a condo or PUD project subject to confirmation that<br>  ○ The project is not a condo hotel or motel, houseboat, timeshare or segmented ownership project and<br>  ○ Appropriate property and flood insurance is obtained, and<br>  ○ Florida Condos are allowed in accordance with Fannie Mae requirements.<br>• Units in projects subject to a ground lease in which the HOA is the lessee, the lease must comply with Fannie Mae lease requirements unless the project has been approved by Fannie Mae in CPM. Refer to the Fannie Mae Selling Guide for complete condo/lease eligibility requirements. |

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| **Credit** | • The minimum representative score for the subject transaction is 620.<br>  ○ At least one borrower must have a minimum of one credit score to be eligible.<br>  ▪ If there is a borrower with no credit score, the borrower(s) with the credit score must contribute more than 50% of the qualifying income.<br>• When the borrower has an APO, FPO or DPO, military address it does not need to be located within the U.S. to obtain a credit report compatible with DU® loan casefile requirements.<br>• A maximum of one credit bureau may be frozen with a DU accept. If the credit must be un-frozen, borrowers must unfreeze all bureaus, and the DU rerun with the updated credit.<br>• Verification and consideration of recurring alimony and child support payments as a liability, if applicable, are required. Acceptable documentation includes a copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation.<br>• Non-Del only: No more than two tax years may be on a tax repayment plan.<br>• Non-Del only: If the most recent year's Federal tax return or filed extension reflects Federal Income Taxes are owed, Pennymac may require validation the taxes have been paid or proof of an IRS repayment plan.<br>• Mortgage Payment History:<br>  ○ The mortgage payment history for the loan being refinanced requires:<br>  ▪ Borrower cannot have had any 30-day mortgage delinquencies in the most recent 6-month period (months 1-6); and<br>  ▪ No more than one 30-day delinquency in months 7 through 12.<br>  ○ The mortgage payment history reflected on the credit report can be used to meet mortgage payment history requirements<br>  ○ Non-Del: Mortgages serviced by Pennymac: Use Pennymac servicing data to verify mortgage payment history for all mortgages regardless if they are the subject mortgage or other REO<br>  ○ Lenders must warrant that repayment of the debt can be expected from the borrower and that there are no circumstances or conditions of which the lender is aware involving the mortgage, the mortgaged premises or the creditworthiness of the borrower that would adversely affect the value or marketability of the mortgage. If a borrower is not making payments on an existing mortgage at the time of application for a new mortgage, it may be an indication that the borrower is experiencing a financial hardship that is preventing them from making their mortgage payments. The lender must also consider whether the borrower's circumstances will impact their willingness or ability to make the payments on the new mortgage.<br>  ○ As a reminder, Fannie Mae requires the following: On the date of the loan application, the borrower's existing mortgage(s) must be current, which means that no more than 45 days have elapsed since the last paid installment. If the credit report does not reflect the above, proof the additional loan payments were paid on time is required. Refer to Fannie Mae Selling Guide.<br>  ○ Non-Del only: Handwritten Verification of Mortgages (VOM) are not eligible |

| | Derogatory Event | Waiting Period Requirements |
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| **Derogatory Credit** | • Bankruptcy: Chapter 7 or 11 | • 4 years |
| | • Bankruptcy: Chapter 13 | • 2 years from discharge date<br>• 4 years from dismissal date |

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| | • Multiple Bankruptcy Filings | • 5 years if more than one filing within the past 7 years |
| | • 5 years if more than one filing within the past 7 years | • 7 years<br>• 3 years with documented extenuating circumstances (see section below) allowed subject to:<br>  ○ up to the lesser of 90% LTV/CLTV or the max LTV/CLTV per the eligibility matrix,<br>  ○ purchase of an OO, or<br>  ○ rate and term of any occupancy<br>• If a mortgage debt was discharged through a bankruptcy, the bankruptcy waiting periods may be applied if the lender obtains the appropriate documentation to verify that the mortgage obligation was discharged in the bankruptcy. Otherwise, the greater of the applicable bankruptcy or foreclosure waiting periods must be applied. |
| | • Deed-in-Lieu of Foreclosure, Pre-foreclosure Sale (Short Sale), Mortgage Charge-Off | • 4 years<br>• 2 years with documented extenuating circumstances, see Extenuating Circumstances below |
| | • All transactions require a DU Approve/Eligible regardless of which time frame for the derogatory event is met, standard or extenuating circumstances. | |
| | • Collections and judgments follow Fannie Mae/ DU requirements | |
| **Disaster Policy** | • Pennymac may require a post-disaster inspection when the appraisal occurred before the incident end date of the disaster. See Pennymac disaster policy located in the Seller's Guide for full details.<br>• Non-Del only: Disaster inspections may not be completed by the Lender. Acceptable inspection providers include, but are not limited to, the original appraiser or a post-disaster inspection company. | |

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| **Documentation** | • Minimum documentation requirements are the more conservative of the RefiNow program or DU<br>• Income documentation requirements:<br>  ○ Base Pay (non-variable): The borrower's most recent year-to-date paystub dated no earlier than 30 days prior to the loan application date.<br>  ○ Base Pay (variable): The borrower's most recent year-to-date paystub and W2 covering the most recent one-year period.<br>  ○ Military Income: Most recent military leave and earnings statement<br>  ○ Self-Employment: One year personal and business tax returns, unless the terms to waive business tax returns are met in accordance with the Fannie Mae Selling Guide<br>  ○ Alimony, Child Support, or Separate Maintenance: Copy of divorce decree, separation agreement, court order or equivalent documentation, and most recent one month documentation of receipt<br>  ○ All other eligible income types: Standard Fannie Mae selling guide requirements apply.<br>• Income derived from the following sources are ineligible for qualifying:<br>  ○ The production or sale of marijuana<br>  ○ Bitcoin or other cryptocurrencies<br>• Non-Del only: Amended Tax Returns<br>  ○ Tax returns where an amendment was filed > 6 months from the application date,<br>  ▪ The amended return should be used for income calculation purposes<br>  ○ Tax returns where an amendment was filed </= 6 months prior to the application date, or after the application date:<br>  ▪ The lowest income reflected on either the amended return or original return must be used for qualification purposes<br><br>*Note: Regardless of AUS documentation requirements, all documentation submitted with the loan file is subject to review and may be used for qualification purposes.* |
| **Eligible / Ineligible Mortgage Products** | Eligible Products<br>• Fixed Rate only<br>• RefiNow Option may only be used one time<br><br>Ineligible Products<br>• High-balance loans are ineligible<br>• Temporary buydowns are ineligible<br>• HomeReady refinance may not be combined with a RefiNow loan.<br>• HomeStyle Renovation, HomeStyle Energy, DU Refi Plus, Refi Plus loans are not eligible. |
| **eMortgages & eNotarization PCG Del Only** | • Lenders must be approved by Pennymac prior to delivering eMortgages, transactions closed using eNotarization or Remote Online Notarization (RON)<br>• Lenders are responsible for ensuring eMortgage loans are delivered in accordance with all requirements in the Pennymac Correspondent Group eMortgage Guide, including but not limited to the following:<br>  ○ State eligibility; and<br>  ○ Product eligibility; and<br>  ○ Transaction eligibility; and<br>  ○ eNotarization eligibility; and<br>  ○ RON eligibility |

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| **Employment/Income Verification** | • For salaried employees the verbal verification of employment must be completed within 10 business days prior to the note date.<br>• For self-employed borrowers the verbal verification of employment must be completed within 120 days prior to the note date.<br>• For borrowers in the military, a military leave and earnings statement dated within 120 calendar days prior to the note date is acceptable in lieu of a verbal verification of employment. |
| **Escrow Account** | • An escrow account for taxes and insurance is required for LTVs greater than 80.00%, or as required by applicable state law. For properties in CA the minimum required LTV is 90.00%<br>• An escrow account for the payment of monthly premiums for borrower-purchased mortgage insurance (if applicable) is required for all loans with an LTV greater than 80.00%.<br>• Property taxes must be escrowed at the same amount used to qualify. Note: Fannie Mae requires escrows for a minimum of two years. |
| **Escrow Holdbacks** | • Not eligible with a RefiNow |
| **Extenuating Circumstances** | • Extenuating circumstances are nonrecurring events that are beyond the borrower's control that result in a sudden, significant, and prolonged reduction in income or a catastrophic increase in financial obligations.<br>• If a borrower claims that derogatory information is the result of extenuating circumstances, the lender must substantiate the borrower's claim. Examples of documentation that can be used to support extenuating circumstances include documents that confirm the event (such as a copy of a divorce decree, medical reports or bills, notice of job layoff, job severance papers, etc.) and documents that illustrate factors that contributed to the borrower's inability to resolve the problems that resulted from the event (such as a copy of insurance papers or claim settlements, property listing agreements, lease agreements, tax returns (covering the periods prior to, during, and after a loss of employment), etc.).<br>• The lender must obtain a letter from the borrower explaining the relevance of the documentation. The letter must support the claims of extenuating circumstances, confirm the nature of the event that led to the bankruptcy or foreclosure-related action, and illustrate the borrower had no reasonable options other than to default on their financial obligations. |

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| **Hazard Insurance** | Policies *must provide for claims to be settled on a replacement cost basis.* Insurance policies that provide for claims to be settled at actual cash value or limit, depreciate, reduce, or otherwise settle losses for less than a replacement cost basis are not eligible.<br><br>Single Family Properties:<br>• The insurance limits must equal the lesser of:<br>  ○ 100% of the replacement cost of the improvements as of the current property insurance policy effective date, or<br>  ○ The unpaid principal balance of the mortgage, provided it equals no less than 80% of the replacement cost value (RCV) of the improvements as of the current property insurance policy effective date.<br>• The replacement cost value must be verified in order to complete the calculation above (refer to Validating Property Insurance Sufficiency requirements outlined below).<br><br>Master Property Insurance for Condominium and PUD[1] Projects:<br>• The master policy coverage limits for condominium and PUD projects must be at least equal to 100% of the replacement cost value of the project's improvements, including common elements and residential structures, as of the current insurance policy effective date.<br>• Verification the project insurance coverage is not less than the minimum required as described above is required (refer to Validating Property Insurance Sufficiency requirements outlined below).<br><br>Note: An HO-6 policy cannot be utilized to satisfy insufficient master property insurance coverage. Building Ordinance or Law Coverage cannot be utilized to offset insufficient master property insurance coverage.<br><br>Validating Property Insurance Sufficiency:<br>• Replacement cost sufficiency may be determined using one of the following:<br>  ○ A replacement cost estimator provided by the insurer; or<br>  ○ A recent property risk appraisal; or<br>  ○ A statement from the insurer affiliated with the property confirming the cost of improvements, as of the current property insurance policy effective date, such that the insurance limits meet the limits specified above; or<br>  ○ The presence of a guaranteed replacement cost endorsement.<br>  ○ A statement from an insurer or insurance industry professional not affiliated with the property insurer, or the HOA if applicable, is not acceptable evidence.<br><br>[1]*Applies to PUD projects where the project's legal documents provide for a master property insurance policy that covers both the common elements and residential structures.*<br><br>Refer to the Fannie Mae Selling Guide for complete property insurance requirements. |
| **High Cost / High Priced** | • <u>Pennymac will not purchase High-Cost Loans</u><br>• Higher Priced Mortgage Loans (HPML) transactions are eligible for purchase. HPML guidelines require:<br>  ○ Establishment of an escrow account for taxes and insurance premiums on any transaction secured by a principal residence.<br>  ○ Must meet all applicable state and/or federal compliance requirements.<br>  ○ A prohibition on ARM loans with an initial fixed rate period of less than seven years (7/1 ARMs are eligible). |
| **Income: Limits** | • The borrower's income must be less than or equal to 100% of the applicable Area Median Income (AMI) for the subject property's location.<br>• The income from all borrowers who will sign the note must be considered in determining whether the loan is eligible under the borrower income limits. |

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| **Loan Purpose: RefiNow** | • Requires documentation that the existing loan being refinanced is owned (or securitized) by Fannie Mae. Documentation may come from any of the following:<br>  ○ The servicing system,<br>  ○ Fannie Mae's Mortgage Loan Lookup, or<br>  ○ Any other source as confirmed by Pennymac.<br>• The existing loan being refinanced must be a minimum of 12 months seasoned from the original note date to the new loan note date.<br>• The borrowers on the new loan must be identical as the borrowers on the existing loan being refinanced.<br>  ○ Title may not be held in an LLC or other entity at the time of application of the new refinance transaction.<br>  ○ New borrowers cannot be added.<br>  ○ Borrowers may be removed if:<br>  ▪ The remaining borrower(s) meet the payment history requirements and provide evidence that they have made the last 12 months payments from their own funds; or<br>  ▪ Due to the death of a borrower (evidence of the deceased borrower's death i.e., death certificate must be documented in the loan file).<br>• Proceeds can be used:<br>  ○ Payoff a first mortgage meeting the above seasoning requirements<br>  ○ Payoff an existing first lien mortgage that includes a deferred balance<br>  ○ Used to pay financed closing costs, prepaid items and points<br>• Proceeds many not be used:<br>  ○ To payoff of a RefiNow, High LTV refinance, DU Refi Plus, or Refi Plus loan<br>  ○ To pay off any existing subordinate financing<br>  ○ To pay off a deferred balance that is a second lien<br>  ○ To pay off a loan that is be subject to recourse, repurchase agreement, indemnification, outstanding repurchase demand, or credit enhancement (unless the new loan is also subject to the credit enhancement or it is no longer required)<br>• Maximum cash back to the borrower $250.<br>  ○ Excess proceeds must be applied as a curtailment on the new loan |
| **Mortgage Insurance** | Eligible MI:<br>• Borrower Paid Monthly<br>• Borrower Paid Single Premium<br>• Financed (gross LTV cannot exceed Pennymac's program maximum)<br>• Split Premium<br>• Lender Paid Single Premium<br>• Reduced coverage<br>Ineligible MI:<br>• <u>Lender Paid Monthly</u><br>• <u>Lender Paid Annual</u><br>• <u>Borrower Paid Annual</u><br>• <u>Any MI type not listed as eligible above</u> |
| **Net Tangible Benefit** | • Net Tangible Benefit may be met when:<br>  ○ A reduction in the borrower's monthly payment that includes principal, interest, and the mortgage insurance payment (if applicable) **and**<br>  ○ At least a 50-basis point (0.5%) reduction in the borrower's new interest rate |

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| **Occupancy** | • Primary residence only |
| **Power of Attorney (POA)** | • An individual employed by or affiliated with any party to the loan transaction e.g., title insurer, settlement agent etc. is not eligible as a POA. |
| **Property:<br>Eligible Types** | • One-unit properties only<br>  ○ Single family attached/detached<br>  ○ PUDs<br>  ○ Low-rise and high-rise Condominiums<br>  ○ Manufactured homes: Refer to the Fannie Mae Manufactured Home product profile for manufactured home specific property and title requirements. The more restrictive of the loan program guidelines apply.<br>  ○ Rural properties (in accordance with Fannie requirements, loans must be residential in nature)<br>  ○ Leaseholds<br>  ▪ Must meet all Fannie Mae leasehold requirements, including but not limited to, appraisal, title, Condo and PUD project eligibility requirements. Refer to the Fannie Mae Selling Guide for complete leasehold requirements. |
| **Property:<br>Ineligible Types** | • 2–4 unit attached/detached<br>• Mobile homes<br>• Cooperatives<br>• Condotels / Hotel Condominiums<br>• Timeshares<br>• Working Farms and Ranches<br>• Unimproved Land<br>• Property currently in litigation<br>• Land Trust, including Community Land Trust Mortgages, and Illinois Land Trust<br>• Condition Rating of C5/C6 or a Quality Rating of Q6 |
| **Property:<br>Maximum Number of Financed** | • Fannie Mae maximum number of financed properties requirements apply. |
| **Ratios** | • The Maximum DTI is 65% with a DU Approve/Eligible. |
| **Recently Listed Properties** | • The subject property must not be currently listed for sale. It must be taken off the market on or before the disbursement date of the new mortgage loan.<br>• Borrowers must confirm their intent to occupy the subject property.<br>• If the property was listed in the prior 30 days to the application date, the Early Pay-off (EPO) provision will be extended to 1 year. |
| **Rental Income** | • Refer to the Fannie Mae Selling guide for complete rental income and documentation requirements. |

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| **Reserves** | • DU will determine the reserve requirements based on the overall risk assessment of the loan, the minimum reserve requirement that may be required for the transaction, and whether the borrower has multiple financed properties.<br>• Fannie Mae multiple financed property reserve requirements apply. |
| **Secondary Financing** | • New subordinated financing is only permitted if it replaces existing subordinate financing.<br>• Existing subordinate financing<br>  ○ May not be satisfied with the proceeds of the new loan,<br>  ○ Can remain in place if it is resubordinated to the new loan, and<br>  ○ May be simultaneously refinanced with the existing first lien mortgage, provided that:<br>  ▪ The unpaid principal balance (UPB) of the new subordinate lien is not more than the UPB of the subordinate lien being refinanced at the time of payoff, and<br>  ▪ There is no increase in the monthly principal and interest payment on the subordinate lien. |
| **State Restrictions** | • Texas 50(a)(6) refinance mortgages are ineligible |
| **Tax Transcript & 4506-C Requirements** | • Tax transcripts are not required. If red flags are present, tax transcripts may be requested at Pennymac's discretion.<br>• A properly executed 4506-C is required for all transactions except:<br>  ○ Loan file contains tax transcripts, or<br>  ○ When all of a borrower's income is validated by the DU validation service (FNMA only).<br>• PCG Del: IRS form 8821 is an acceptable alternate form in lieu of IRS form 4506-C<br>• Non-Del: IRS form 8821 is not an acceptable alternate form in lieu of IRS form 4506-C |
| **Temporary Interest Rate Buydowns** | • Not allowed |
| **Title** | • Follow Fannie Mae title policy requirements<br>• Transactions receiving DU Message ID 3719 are ineligible to be originated without a lender's title policy. A title policy is required.<br>• Loans with private transfer fee covenants are ineligible unless such covenants are "excepted transfer fee covenants". Excepted transfer fee covenants are covenants that:<br>  ○ Requires payment of a private transfer fee to a covered association (homeowner associations, condominiums, etc.) and limits the use of such transfer fees exclusively to purposes which provide a direct benefit to the real property encumbered by the private transfer fee covenants; or<br>  ○ Requires payment of a private transfer fee under a program meeting the Duty to Serve shared equity loan program criteria identified in 12 CFR 1282.34(d)(4) (other than Duty to Serve 100% AMI)<br>  ○ Note: Fees that do not meet these "excepted transfer fee covenants" requirements are ineligible for purchase. (FHFA Final Ruling 12 C.F.R. Part 1228)<br>• A mortgage that is subject to a leasehold estate must have an ALTA Endorsement 13.1.<br>• Non-Del only: Attorney opinion letters of title (AOL) are ineligible. |

**Seller shall deliver loans that were originated in accordance with the Fannie Mae Single Family Selling Guide unless otherwise noted in the Pennymac Seller's Guide.**

*Pennymac does not discriminate in any aspect of a credit transaction on the basis of sex, gender identity or expression, sexual orientation, marital status, familial status, race, color, ethnicity, religion, national origin, age, handicap or disability status, income derived from public assistance, military status or the good faith exercise of rights under the Consumer Credit Protection Act.*